ESBM 3700
ENTREPRENEURIAL ENVIRONMENTS

LECTURE 17

STARTUP FAILURE

University of Colorado Boulder

Our path

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Entrepreneurial Mindset	Choosing Your Customer	Disruption Strategy
Ideas to Opportunities	Choosing Your Technology	Intellectual Property Strategy
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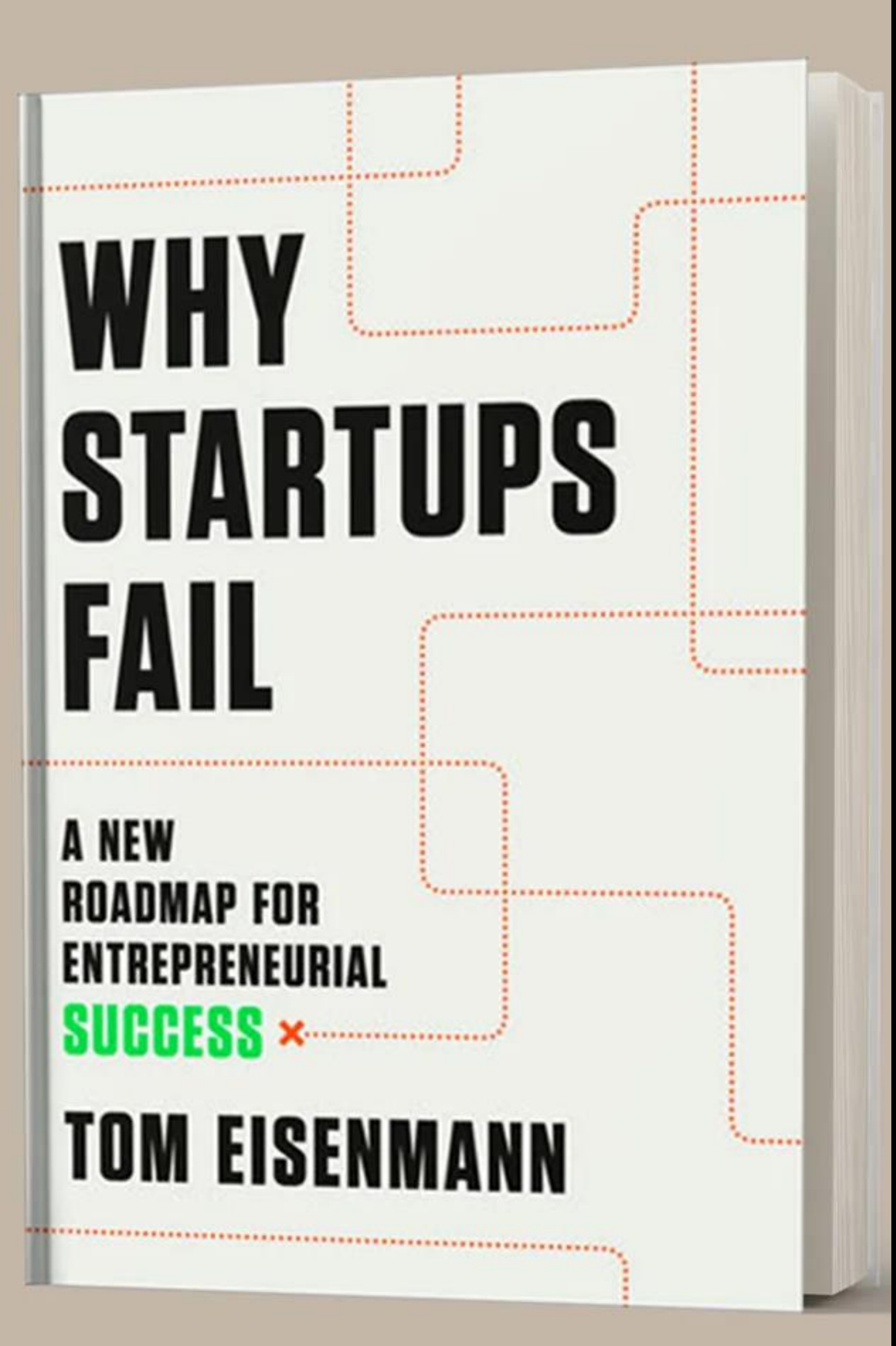
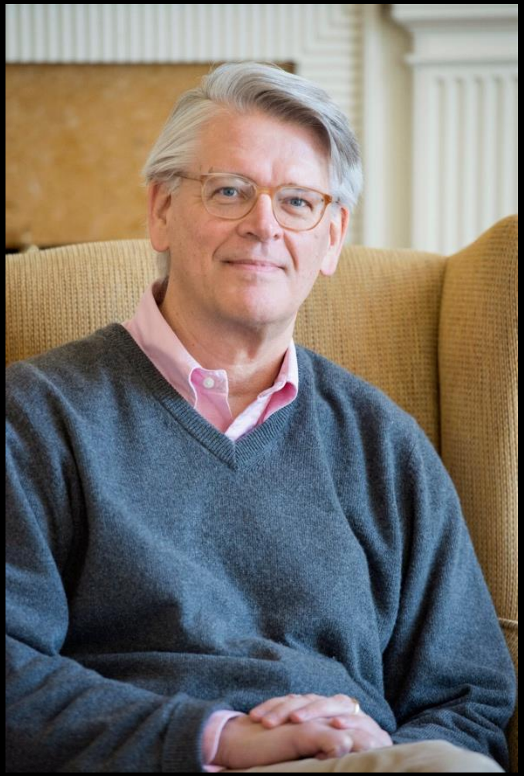
Why Failure?

Between 80%-90% of startups fail in their first five years of emergence.

One of the most significant predictors of a startup's success is serial entrepreneurship (which usually means past failed entrepreneurial activities).





Tom Eisenmann

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What is startup failure?

- Startups can be considered to have failed under the following conditions:
  - If a startup exited via a merger or an initial public offering, and total proceeds received from the exit are less than the total amount of equity capital that investors contributed.
  - If a startup is still operating and early investors would incur a loss upon selling their equity, if they were allowed to do so.
  - If a startup was bootstrapped and its founders cannot expect to even take more cash out of the company than the value of capital and sweat equity they contributed.

Startup failure patterns

Early-stage failure

- Good ideas, bad bedfellows
- False starts
- False positives

Late-stage failure

- Speed trap
- Help wanted
- Cascading miracles

Good idea, bad bedfellows

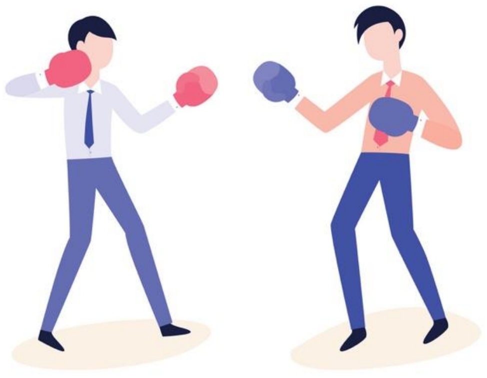
- This pattern plays out when a startup with a promising opportunity falters due to deficiencies and dysfunction among a range of key resource providers, including its founders, other team members, investors, and strategic partners.

Founders

- Founders' lack of industry experience is often at the core of this pattern.
- Cofounder relationships are less stable when cofounders are family members or were close friends prior to launching a venture.

Team

- Lack of flexibility and lack of initiative are two main factors of failure.
- Solution: 1) Find someone with industry experience, 2) Interview for attitude, and 3) Give the candidate a tryout before hiring.



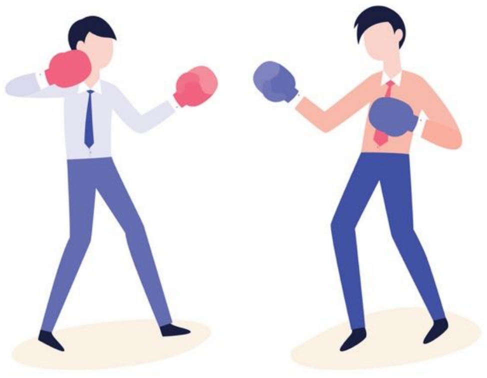
Good idea, bad bedfellows (cont'd)

Investors

- Just as *founder fit* is crucial so is *funder fit*.
- Ask these two important questions:
  - Will the investor add value in the form of skills and experience beyond the capital they contribute?
  - Are their risk-reward preferences consistent with those of the founders?

Partners

- Due diligence is key!



False starts

- A false start occurs when a startup rushes to launch its first product before conducting enough customer research — only to find that the opportunities they have identified are rife with problems.

- Entrepreneurs can avoid false starts by understanding a thorough and thoughtful design process *before* commencing engineering work.

- Founders with a flawed understanding of the Lean Startup approach too, often skip early process steps — they jump straight to MVP testing!

- The biggest mistake entrepreneurs make with MVP tests is not conducting them at all. But you can make other errors, too — for example, failing to specify a threshold for test success.

- Another common error with MVP tests is revising one's assumptions and pivoting either too quickly or too slowly in response to test results.

False positives

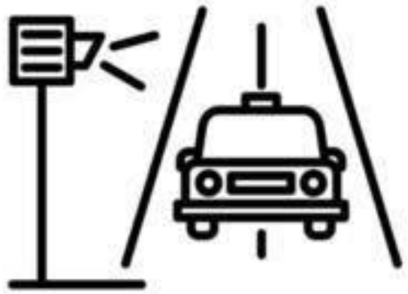
- Early success rates that appear more promising than they actually are can lead to expansions on a level that is not yet warranted.

- False positives unfold in two ways:
  - An entrepreneur tailors a solution for early adopters, commits resources to this solution, and then learns that the solution does not meet the needs of the larger mainstream market.
  - An entrepreneur assembles resources to capitalize upon an opportunity. While pursuing the opportunity, the entrepreneur is surprised by the level of demand from early adopters and assumes that the demand from mainstream customers will also be strong.

- Having the market S-curve and different stages of customers in mind is key!

Speed trap

- The RAWI test:
  - Ready?
    - Does the startup have a proven business model? Is its target market large enough to keep growing? When it starts scaling, does it have a high enough profit margin to withstand a price/cost squeeze if new customers become harder to attract?
  - Able?
    - Can the startup access the human and capital resources required to expand rapidly? Can it train large numbers of new workers and coordinate their efforts?
  - Willing?
    - Are the founders eager to grow their business? Will doing so advance their original vision? Are they willing to incur the equity dilution that comes with raising lots of venture capital; risk getting fired, as investors take control of the startup's board; and suffer the toll that long h
take on
personal relationships?



  - Impelled?
    - Does the startup have aggressive rivals? Is it at risk of waking sleeping dragons? Will powerful network effects, high switching costs, and strong scale economies provoke competitors to pursue a "land grab"?

Help wanted

- With this pattern, a startup sustains product-market fit as it grows but cannot mobilize the resources needed to continue expanding.

- Entrepreneurs leading later-stage startups can take some precautions if they have a premonition that **financing risk** might be on the horizon.
  - First, they can try to raise more capital than financial projections show they will need to reach their next major milestones.
  - Second, entrepreneurs can try to raise capital from VCs who are more likely to be able and willing to provide bridge financing.
  - Third, entrepreneurs can try to preserve flexibility to cut costs should the need arise, despite the trade-offs that might be involved.

Cascading miracles

- Moonshot ventures are so ambitious that they have to meet a number of requirements, or it would come crashing down. And with so many challenges, it would be remarkable if each and everyone of them worked out.

- With cascading miracles pattern, a startup pursuing **bold** innovation faces many big challenges — and a shortfall with any one of them will be sufficient to kill the venture. Consequently, the startup needs a cascade of miracles to succeed.

- Three main challenges on the cascading miracles are:
  - **Estimating demand:** One big risk that entrepreneurs with a world-altering solution face is that the radical change they promise will turn out to be *too* vast — and scare customers away. The challenge is figuring out how much innovation is too much.
  - **Dealing with delays:** An engineering team shooting at a receding target, soon will have two challenges, new technologies become available and rivals show up.
  - **Harnessing a monomaniacal founder:** There is a fine line between charisma and narcissism.

Bouncing back

- A startup failure can severely derail an entrepreneur in three ways:
  - First, their personal finances may be in disarray.
  - Second, their personal relationships may be in a shambles.
  - Third, the failure of her venture can inflict deep emotional distress.

- A three-phase journey awaits most founders as they try to bounce back from their venture's failure:
  - **Recovery:** The famous five stages of grief are applicable in startup failures.
  - **Reflection:** Soul-searching and post-mortem can create extremely valuable opportunities for learning.
  - **Reentry:** When pitching their reentry, founders will get a better reception if they can say how their failure shaped those plans.

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THANK YOU!